

Hidden Costs Effect

What is it?

People dislike unexpected additional costs.

When hidden fees appear late in the process, users feel misled and often stop the purchase completely.

History

Backed by behavioral economics and loss aversion research since **1979**, when Kahneman and Tversky introduced Prospect Theory showing how people react strongly to unexpected monetary loss and feel cheated even if the total price is still reasonable.

The Psychology Behind It

- Surprise cost triggers loss aversion
- Trust breaks when pricing isn't transparent
- Even small hidden fees feel unfair
- The emotional drop is bigger than simply seeing a higher price upfront

Why It Matters

- Cart abandonment
- Negative sentiment + reviews
- Broken trust
- Lower repeat conversions
- Higher bounce rates

How to Apply It

- Show full pricing upfront
- Avoid bait-and-switch pricing tactics
- Bundle all charges when possible
- Use trust-supporting messaging like “No hidden fees”
- Provide clear cost breakdowns before checkout

Theory in Action

Booking.com shows the total price early (taxes + service charges included) so users don't get surprised at the end of the booking process.

Final Thought

Transparent pricing builds trust and converts better. Hidden fees may create short-term gain, but they destroy long-term loyalty.